

However, it is important to mention the breakdown upfront as the money will be disbursed accordingly. For example, you can't use the living expense portion of the loan to buy a laptop. Once you sign the loan agreement, it can be tough to request more funds later on. So, take some time to think carefully about all your potential expenses and make sure you give the proper amount from the bank and get an appropriate amount sanctioned.

3. Interest Costs



Now you must be wondering, if we get a loan including all costs then we'd have to pay heavy interest on it. Well the thing is even if you sanction a bigger amount, interest is only charged on the amount actually disbursed to you. This means that even if sanctioned more money than you need, you'll only be paying interest on what you use.

4. Tax Benefits

The interest you pay on an education loan can be deducted to reduce your taxable income under Section 80E of the income tax act. This can significantly lower the effective interest rate on your loan.

